Federal Reserve, was not listed as a lead speaker, Paulson had yielded to him. In his professorial baritone, Bernanke gave an account of the unusual measures that the Federal Reserve had instituted to inject liquidity into the financial markets which had gone into seizure, and outlined the bespoke solutions they were contemplating for some of the stressed financial institutions. The mike then passed on to Jean-Claude Trichet, the president of the European Central Bank (ECB) who explained, in his graceful, French-accented English, how the European banks, with large exposures to the US sub-prime assets and their derivatives, had come under pressure, how the contagion was spreading across Europe and what the ECB was doing to cope with the evolving situation.

The anxiety in the room was palpable. Already a lot of hands had gone up to comment or ask questions, especially directed at the US, but the chair decided that we should go on with the emerging-market perspective before opening up for discussion. Minister Mantega is reasonably fluent in English, but I noticed, after seeing him in several international meetings in later years, that he prefers to speak in Portuguese wherein he comes off more articulate and decidedly more forceful. Quite predictably, his comment, as the lead speaker, centred on the paradoxical ‘safe haven’ effect —capital fleeing from emerging markets back into the US even as the US was the epicentre of the crisis—which was destabilizing emerging-market economies and complicating their macroeconomic management.

My turn to speak came shortly after 7 p.m., an hour into the meeting, as the earlier speakers had exceeded their time limits. I was going to make two points. First, that the impact of the unfolding crisis on emerging markets had been more severe than was understood or acknowledged internationally. The narrative that had taken shape over the past few years that emerging markets had decoupled from advanced economies—which is to say that even if advanced economies went into a downturn, emerging markets would not be adversely affected because of their robust foreign exchange reserves, resilient banks and sound macro fundamentals—had been dented by the developments over the past few weeks. Even though emerging-market financial institutions were not exposed to toxic assets, the